

SADC GDP ANALYSIS

Analyst: Emmanuel Mungungu

Date: 07/05/2026

OVERVIEW

This analysis examines the distributions and growth trends of gross domestic product (GDP) across key economic activities, grouped into sectors, for five SADC countries: Zambia, Zimbabwe, Malawi, South Africa, and Angola. The analysis has been conducted using data from 2015 up until 2024. The aim is to assess economic structures and to determine whether there are dependencies on any specific sector or activity.

DEFINITIONS

1. Gross domestic product (GDP): is a monetary measure of the total market value of all the final goods and services which are produced and rendered during a specific period (usually a year) by a country.
2. Primary Sector: Involves the harvesting, mining, Quarrying, and collection of natural resources.
3. Secondary Sector: Refers to vocations in which products are assembled and finished (manufacturing, chemical production, shipbuilding, construction, energy distribution, engineering).
4. Tertiary Sector: Provides services to consumers and businesses rather than producing goods. Examples include retail, healthcare, education, banking, and transportation.
5. Adjustments: Taxes less subsidies on products.

KEY FINDINGS

All five countries rely on the tertiary sector the most. This is because there are more economic activities in the tertiary sector than any other sector. South Africa has had the highest overall GDP amount, followed by Angola, then Zimbabwe, then Zambia, and finally, Malawi.

Zambia and Zimbabwe share a similar GDP structure, but different growth rate trends. Both show dominant wholesale and retail trade, but significant primary sector contributions. Malawi's GDP structure is also like the two, but with a concentration on agriculture, forestry, and fishing. Malawi's growth rate has also followed different patterns from the two. Notably, Zimbabwe and Malawi were the only countries to not experience a decrease in GDP value from 2019 to 2020 (COVID). This is linked to minimal shocks in the sectors they are dependent upon, but this still leaves them open to the danger of significant lows if their economies are not further diversified.

South Africa is highly service-driven and diversified. The Tertiary sector is significantly dominant. Angola is heavily concentrated in primary activities such as mining more

than any other country in this analysis. Though this concentration works for Angola, it would be highly risky for Zambia to adopt a structure like this. GDP growth is significantly impacted by sector/activity dependencies in any given year.

IMPLICATIONS

Zambia remains partially dependent on the primary sector, but growth rate trends also suggest that there is notable diversity. This was observed through the similarity in growth rate patterns between Zambia, Angola, and South Africa. To minimize the impact of these external shocks, further economic diversification is crucial. This diversification can be done particularly in the tertiary sector for more stability and growth in value. Stakeholders must exercise caution to ensure that this does not become a dependency either, as any shocks on service-driven sectors would also significantly impact GDP growth as seen in South Africa during the COVID period. The Zambian government can develop policies to support this diversification.

CONCLUSION

Zambia exhibits an economic structure that is more balanced than resource-heavy economies like Angola, but less diversified than service-driven economies like South Africa. This highlights the need for continued structural transformation to achieve a diversified structure that can adequately manage both external and internal shocks.